

CONTRACT NO. _____
ORDINANCE NO. _____

ENTITLED: “AN ORDINANCE GRANTING A FRANCHISE BY THE CITY OF CHEYENNE TO HIGH WEST ENERGY, INC., ITS SUCCESSORS AND ASSIGNS, THE RIGHT TO FURNISH, SELL AND DISTRIBUTE ELECTRICITY TO THE CITY AND TO ALL PERSONS, BUSINESSES, AND INDUSTRY WITHIN A PORTION OF THE CITY IN HIGH WEST’S CERTIFICATED TERRITORY AND THE RIGHT TO ACQUIRE, CONSTRUCT, INSTALL, LOCATE, MAINTAIN, OPERATE AND EXTEND INTO, WITHIN AND THROUGH SAID CITY ALL FACILITIES REASONABLY NECESSARY TO FURNISH, SELL AND DISTRIBUTE ELECTRICITY WITHIN THE CITY AND THE RIGHT TO MAKE REASONABLE USE OF ALL STREETS AND OTHER PUBLIC PLACES AND PUBLIC EASEMENTS AS HEREIN DEFINED AS MAY BE NECESSARY; AND FIXING THE TERMS AND CONDITIONS THEREOF.”

ARTICLE 1 DEFINITIONS

DEFINITIONS.....	1
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ARTICLE 2 GRANT OF FRANCHISE

2.1 GRANT OF FRANCHISE.....	2
2.2 STREET LIGHTING SERVICE.....	2
2.3 TERM OF FRANCHISE.....	2

ARTICLE 3 FRANCHISE FEE

3.1 FRANCHISE FEE.....	2
3.2 PAYMENT CONTINGENCY.....	2
3.3 PAYMENT SCHEDULE.....	3
3.4 CHANGE OF FRANCHISE FEE AND OTHER FRANCHISE TERMS..	3
3.5 FRANCHISE FEE PAYMENT IN LIEU OF OTHER FEES AND CHARGES.....	3

ARTICLE 4 SUPPLY, CONSTRUCTION AND DESIGN

4.1 SUPPLY OF ELECTRICITY.....	3
4.2 RESTORATION OF SERVICE.....	3
4.3 OBLIGATIONS REGARDING COMPANY FACILITIES.....	3
4.4 EXCAVATION AND CONSTRUCTION.....	4
4.5 RELOCATION AND REMOVAL OF COMPANY FACILITIES.....	4
4.6 REIMBURSEMENT OF COSTS.....	5
4.7 CITY NOT REQUIRED TO ADVANCE FUNDS.....	5
4.8 DARK SKIES.....	5

ARTICLE 5 COMPLIANCE

5.1 CITY REGULATION.....	5
5.2 COMPLIANCE WITH CITY REQUIREMENTS.....	5
5.3 CITY REVIEW OF CONSTRUCTION AND DESIGN.....	6
5.4 COMPLIANCE WITH PSC REGULATIONS.....	6
5.5 COMPLIANCE WITH LAWS RELATING TO ENVIRONMENTAL PROTECTION.....	6
5.6 INSPECTION.....	6
5.7 PARTICIPATION IN DEVELOPMENT AND CONSTRUCTION PROJECTS.....	6
5.8 IDENTIFICATION OF COMPANY STREET LIGHTING.....	6
5.9 RELOCATION AT REQUEST OF THIRD PARTY.....	6

ARTICLE 6 PUBLIC SERVICE COMMISSION

6.1 PUBLIC SERVICE COMMISSION REGULATION.....	6
6.2 PUBLIC SERVICE COMMISSION NOTIFICATION.....	7

ARTICLE 7 REPORTS TO CITY

7.1 REPORTS ON COMPANY OPERATIONS.....	7
7.2 COPIES OF TARIFFS, ALL PSC FILINGS.....	7
7.3 DATA SHARING/LOCATION MAPS.....	7

ARTICLE 8 USE OF COMPANY FACILITIES

8.1 USE BY OTHERS.....	7
8.2 UNDERGROUND CONDUIT.....	7

ARTICLE 9 INDEMNIFICATION OF THE CITY

9.1 CITY HELD HARMLESS..... 7

9.2 PAYMENT OF EXPENSES INCURRED BY CITY IN RELATION
TO ORDINANCE.....8

ARTICLE 10 UNDERGROUND CONSTRUCTION

10.1 UNDERGROUND ELECTRICAL DISTRIBUTION LINES IN NEW
AREAS..... 8

10.2 COOPERATING WITH OTHER UTILITIES..... 8

ARTICLE 11 TRANSFER OF FRANCHISE

11.1 CONSENT OF CITY REQUIRED..... 8

ARTICLE 12 PURCHASE OR CONDEMNATION

12.1 CITY’S RIGHT TO PURCHASE OR CONDEMN..... 8

12.2 CONTINUED COOPERATION BY COMPANY..... 8

ARTICLE 13 REMOVAL OF COMPANY FACILITIES AT END OF FRANCHISE

13.1 LIMITATIONS ON COMPANY REMOVAL..... 8

ARTICLE 14 FORFEITURE

14.1 FORFEITURE..... 9

14.2 JUDICIAL REVIEW..... 9

14.3 OTHER LEGAL REMEDIES..... 9

14.4 CONTINUED OBLIGATIONS..... 9

ARTICLE 15 AMENDMENTS

15.1 AMENDMENTS TO FRANCHISE..... 9

ARTICLE 16 SMALL POWER PRODUCTION AND COGENERATION

16.1 COMPANY TO PURCHASE..... 9

ARTICLE 17 MISCELLANEOUS

17.1 SUCCESSORS AND ASSIGNS..... 9

17.2 THIRD PARTIES..... 9

17.3 NOTICES..... 9

17.4 SEVERABILITY..... 10

17.5 GOVERNMENTAL IMMUNITY..... 10

17.6 GOVERNING LAW, JURISDICTION AND VENUE..... 10

17.7 INSURANCE..... 10

17.8 ENTIRE AGREEMENT..... 10

ARTICLE 18 APPROVAL

18.1 CITY AND PSC APPROVAL..... 10

18.2 COMPANY APPROVAL..... 11

ARTICLE 1
DEFINITIONS

1.0 For the purpose of this franchise, the following words and phrases shall have the meaning given in this article. When not inconsistent with the context, words used in the present tense include the future tense, words in the plural number include the singular number, and words in the singular number include the plural number. The word “shall” is mandatory and “may” is permissive. Words not defined in this article shall be given their common and ordinary meaning.

1.1 “City” refers to and is the municipal corporation designated as the City of Cheyenne, Laramie County, Wyoming, and includes the territory currently included, or which may in the future be included, within the boundaries of the City of Cheyenne.

1.2 “Company” refers to and is High West Energy, Inc., and its successors and assigns, but does not include its affiliates, subsidiaries or any other entity in which it has an ownership interest.

1.3 “Distribution Facilities” refers to and is only that portion of the Company’s electric system which delivers electric energy from the substation breakers to the point-of-delivery of the customer, including all devices and facilities connected to that system.

1.4 “Facilities” refers to and is all facilities reasonably necessary to provide electricity into, within and through the City and includes plants, works, systems, substations, transmission and distribution structures, lines, equipment, conduit, transformers, underground lines, meters, wires, cables and poles. “Facilities” does not include any electric generation plant and the word “provide” shall not include the generation of electricity.

1.5. “Franchise Area” refers to and is that area within the City where High West Energy, Inc., currently holds a certificate of public convenience and necessity from the Wyoming Public Service Commission (“PSC”) to provide electric utility service, and includes the areas which may in the future be included within the boundaries of the City of Cheyenne upon approval by the City through future annexation ordinances so long as the area annexed is within High West Energy, Inc.’s, certificated territory. The “Franchise Area” is depicted on Attachments A and B attached hereto and incorporated herein by this reference.

1.6 “Governing Body” refers to and is the legislative body of the City.

1.7 “Members” shall be used interchangeably with “consumers” and shall refer to members of the High West Energy, Inc., cooperative as defined by state law and the Bylaws of the Company.

1.8 “Public Easements” refers to and is public and dedicated easements created and available for use by public utilities for their facilities.

1.9 “Public Service Commission” or “PSC” refers to and is the Public Service Commission of the State of Wyoming or other authority succeeding to the regulatory powers of the Public Service Commission.

1.10 “Residents” refers to and includes all persons, businesses, industry, governmental agencies, and any other entity whatsoever, presently located or to be hereinafter located, in whole or in part, within the territorial boundaries of the City.

1.11 “Revenues” refers to and is those amounts of money which the Company receives from its customers from the sale of electricity under rates authorized by the PSC and represents amounts billed under such rates as adjusted for refunds, the net write-off of uncollectible accounts, corrections or other regulatory adjustments, and amounts allocated to members as capital credits.

1.12 “Streets and Other Public Places” refers to and is streets, alleys, viaducts, bridges, roads, lanes and other public right-of-way in said City.

1.13 “Street Lighting Service” refers to the provision of electricity for any street light, pedestrian light, lamppost, street lamp, light standard, lamp standard, or any other raised source of light on the edge of and within the right-of-way of a public road or walkway which is turned on or lit approximately at dusk at every night.

ARTICLE 2 GRANT OF FRANCHISE

2.1 Grant of Franchise. The City of Cheyenne hereby grants to High West Energy, Inc., for the period specified in and subject to the conditions, terms and provisions contained in this franchise, a non-exclusive right to furnish, sell and distribute electricity to the City and its residents in the Franchise Area. Subject to the conditions, terms and provisions contained in this franchise, the City also hereby grants to the Company a non-exclusive right to acquire, construct, install, locate, maintain, operate and extend into, within and through the City all facilities reasonably necessary to furnish, sell and distribute electricity within and through the City and a non-exclusive right to make reasonable use of the streets and other public places, public rights-of-way, and dedicated easements as may be necessary to carry out the terms of this franchise. These rights shall extend to all areas of the city as it is now constituted and to additional areas as the City may increase in size by annexation or otherwise. Electric service territory is defined by Attachment A and Attachment B. For the purposes of this franchise, the word “furnish” shall refer to the use of facilities to supply and distribute electricity, but shall not include the generation of electricity.

2.2 Street Lighting Service. The rights granted in this franchise encompass the non-exclusive franchise to provide street lighting service to the City and the provisions of this franchise apply with full and equal force to the street lighting service provided by the Company. Wherever reference is made to the sale of electricity or to the provision of electric service in this franchise, these references shall be deemed to include the provision of street lighting service. Wherever reference is made to Company facilities, equipment, system or plant in this franchise, this reference shall be deemed to include Company-owned street lighting facilities, equipment, system and plant.

2.3 Term of Franchise. This franchise shall take effect on January 1, 2013. The term of this franchise shall be for twenty-five (25) years, expiring on December 31, 2037.

ARTICLE 3 FRANCHISE FEE

3.1 Franchise Fee. In consideration for the grant of this franchise, the Company shall pay the City a franchise fee equal to a percentage of all gross revenues derived from the sale of electricity by Company to its customers within the City, as follows:

a. Three percent (3.0%) from January 1, 2013 through December 31, 2037, provided however, that the City reserves unto itself the unilateral right to increase said franchise fee by no more than one-half of one percent (.5%) by amendment to this franchise ordinance enacted during the period of time from January 1, 2020 through March 1, 2020, during the period of time from January 1, 2027 through March 1, 2027, and during the period of time from January 1, 2034 through March 1, 2034, and provided further that in no event shall said franchise fee increase by more than one and one-half percent (1.5%) during the term of this franchise. It is the specific intent of this subsection that the City shall have the unilateral right, in the exercise of its sole and absolute discretion, to increase said franchise fee, subject to the limitations contained herein, but shall not be obligated to do so.

b. The City will cooperate with Company by providing Company with a map of its corporate limits (the “Map”). The Map shall be of sufficient detail to assist Company in

determining whether their customers reside within the City's corporate limits. The Map shall serve as the basis for determining Company's obligation hereunder to collect and pay the franchise fee from customers; provided, however, that if the City's corporate limits are changed by annexation or otherwise, the City will provide the updated Map to the Company. Company's obligation to collect and pay the franchise fee from customers within an annexed area shall not commence until sixty (60) days after such Company's receipt of a revised Map or other information as is reasonably necessary for Company to identify the customers in the annexed area obligated to pay the franchise fee. The City shall provide copies of annexation ordinances to the Company on a timely basis to ensure appropriate franchise fee collection from customers within the corporate limits of the City as set forth in this section 3.

3.2 Payment Contingency. The Company shall not be liable for the payments required under Paragraph 3.1.a above for consumers not served by the Company or those served by other franchise holders.

3.3 Payment Schedule. For the franchise fee owed on revenues received after the effective date of this franchise, payment shall be made in monthly installments not more than thirty (30) days following the close of the month for which payment is to be made. Initial and final payments shall be prorated for the portions of the months at the beginning and end of the term of this ordinance. All payments shall be made to the City Clerk. The City Clerk, or other authorized representatives, shall have access to the books of the Company for the purpose of auditing or checking to ascertain that the franchise fee has been correctly computed and paid.

If it is determined that a mistake was made in the payment of any franchise fee required hereunder, unless otherwise agreed between the City and the Company, such mistake shall be corrected promptly upon discovery such that any under-payment by Company shall be paid within sixty (60) days of reasonable recalculation of the amount due, and any over-payment by Company shall be deducted from the next payment or successive payments of such franchise fee due by Company to the City; provided, that neither party shall have the obligation to correct a mistake that is discovered more than three (3) years after the occurrence thereof.

3.4 Change of Franchise Fee and Other Franchise Terms. The Company shall, upon request, report to the City within sixty (60) days of the execution of a subsequent franchise granted by another municipality within the State of Wyoming or of any event that could have a significant financial impact on the consideration to be paid by the Company to the City hereunder. If the Governing Body decides the consideration shall be changed, it shall provide for such change by Ordinance; provided, however, that the consideration is not higher than the highest consideration paid by the Company to any municipality within the State of Wyoming. For purposes of this section, "consideration" means the franchise fee established in Article 3, Section 1 and also includes any other provision which is of similar significant financial benefit to the City.

3.5 Franchise Fee Payment in Lieu of Other Fees and Charges. In connection with the operation of facilities to furnish, sell and distribute electricity within the City, as described in Section 2.1 of this franchise, the Company shall be exempt from the requirements of Titles 5 and 15 of the Cheyenne City Code pertaining, respectively, to Business Licensing and Buildings and Construction. Payment of the franchise fee by the Company is accepted by the City in lieu of any occupancy tax, license tax, or similar tax or charge on the privilege of doing business in the City, but does not exempt the Company from any lawful taxation upon its property or any other tax not related to the operation of its facilities to furnish, sell and distribute electricity as described in Section 2.1 of this franchise. Any independent contractor engaged by the Company to perform construction work as described in Section 5.44.020 of the Cheyenne City Code must obtain a City Contractor's License.

ARTICLE 4 SUPPLY, CONSTRUCTION AND DESIGN

4.1 Supply of Electricity. The Company shall take all reasonable and necessary steps

to provide an adequate supply of electricity to its customers at the lowest reasonable cost consistent with long-term reliable supplies. If the supply of electricity to its customers should be interrupted, the Company shall take all necessary and reasonable actions to restore such supply within the shortest practicable time. For the purposes of this franchise, the words “supply” and “furnish” shall refer only to the use of facilities to provide, distribute, and sell electricity, but shall not refer to the generation of electricity.

4.2 Restoration of Service. In the event the Company’s electric system, or any part thereof, is partially or wholly destroyed or incapacitated, the Company shall use due diligence to restore its system to satisfactory service within the shortest practicable time.

4.3 Obligations Regarding Company Facilities. The Company shall install, maintain, repair, renovate and replace its facilities with due diligence in a good and workmanlike manner and the Company’s facilities will be of sufficient quality and durability to provide adequate and efficient electric service to consumers. Company facilities shall not interfere with the City’s water mains, sewer mains or other municipal use of streets and other public places. All street cuts shall be permanently repaired in accordance with City requirements. The Company shall make every effort to permanently repair street cuts in a timely manner, including the restoration of pavement markings. In the case that material for permanent repair is not available from local asphalt companies, the Company shall repair street cuts with a temporary patch and maintain the patch until the street can be permanently repaired. The Company shall erect and maintain its facilities so as to minimize interference with trees and other natural features. Company facilities shall be installed in public rights-of-way or dedicated easements so as to cause a minimal amount of interference with adjacent property.

4.4 Excavation and Construction. All excavation and construction work done by the Company shall be done in a timely and expeditious manner which minimizes the inconvenience to the public and individuals. All public property whose use conforms to restrictions in public easements disturbed by Company excavation or construction activities shall be restored by the Company at its expense to substantially its former condition.

4.5 Relocation and Removal of Company Facilities.

a. Subject to the provisions of Article 10.1, any relocation or removal of the Company’s facilities in any street or other public place required, caused or occasioned by any City project shall be at the cost of the Company. Relocation or removal shall be completed within a reasonable time from the date when the City makes its request, such time to be established by the Company and approved by the City.

b. In the event abandoned facilities have to be removed, said removal shall be at the cost of the Company.

c. When relocating its facilities pursuant to this Section, the Company shall be granted an extension of time of completion equivalent to any delay caused by conditions or circumstances not under its control provided that the Company has made every attempt to complete the work and proceeds with due diligence at all times. Failure of the Company to provide sufficient personnel, equipment and/or materials to complete the work within the time agreed to will obligate the Company to reimburse the City for costs in accordance with Section 4.6 of this agreement.

d. Above ground facilities located within the Franchise Area as of the date of this agreement and above ground facilities existing in areas as of the date of annexation shall be allowed to remain. Subject to the Rules of the Company on file with the PSC, all facilities serving residential and commercial customers, being relocated for any reason whatsoever, shall be placed underground when practicable and when undergrounding does not place an undue burden on rate payers, or unless exempted from such requirement by the City. If the City requires the facilities to be relocated solely for aesthetic reasons, the City agrees to pay the incremental cost difference between aerial-to-aerial relocation and aerial-to-underground relocation.

No obligation shall extend to, or be binding upon, the Company to install new facilities underground unless the Company is able to use public right-of-way, dedicated utility easement, or at Company's sole discretion determines to obtain an easement for such facilities on adjoining private property adjacent to the public right-of-way.

e. If the City orders or requests the Company to relocate its facilities or equipment for the primary benefit of a commercial or private project, or as a result of the initial request of a commercial or private developer or other non-public entity, and such removal is necessary to prevent interference, then the Company shall receive payment for the cost of such relocation from the commercial or private developer as a precondition to relocating its facilities or equipment.

The City shall consider reasonable alternatives in designing its public works projects and exercising its authority under this section so as not to arbitrarily cause the Company unreasonable additional expense. If alternative public right-of-way space is available, the City shall also provide a reasonable alternative location for the Company's facilities. The City shall give the Company written notice of an order or request to vacate a public right-of-way; provided, however, that its receipt of such notice shall not deprive the Company of its right to operate and maintain its existing facilities in such public right-of-way until it (a) if applicable, receives the reasonable cost of relocating the same, and (b) obtains a reasonable public right-of-way, dedicated utility easement, or private easement alternative location for such facilities.

4.6 Reimbursement of Costs. The Company shall reimburse the City for all direct and necessary costs reasonably incurred by the City as the direct result of the Company's failure to perform construction in compliance with this Article 4.

4.7 City Not Required to Advance Funds. Upon receipt of the City's authorization for billing and construction, the Company shall extend its facilities to provide electric service to the City for municipal uses within the City limits or for any municipal facility outside the City limits, and within the Company certificated service area, without requiring the City to advance funds prior to construction.

4.8 Dark Skies. All new public street lighting installed under this agreement shall utilize fully shielded and energy efficient luminaires. A fully shielded luminaire is defined as a luminaire that is constructed and installed in such a manner that all light emitted by the luminaire, either directly from the lamp or a diffusing element, or indirectly by reflection or refraction from any part of the luminaire, is projected below the horizontal plane through the luminaire's lowest light-emitting part.

ARTICLE 5 COMPLIANCE

5.1 City Regulation. The City expressly reserves, and the Company expressly recognizes, the City's right and duty to adopt, from time to time, in addition to the provisions herein contained, ordinances, rules and regulations as may by the City be deemed necessary in the exercise of its police power for the protection of the health, safety and welfare of its citizens.

5.2 Compliance with City Requirements. The Company shall comply with all City requirements regarding curb and pavement cuts, excavating, digging and related construction activities. Prior to excavation, construction or repair activities within any right-of-way, the Company shall obtain a right-of-way encroachment permit under Section 12.04.080, which permit shall be issued without charge and which shall be issued upon compliance with Section 12.12.070, and provided further the Company shall be required to provide construction drawings, as a condition of the issuance of a right-of-way encroachment permit, only when the Company is engaged in the installation of new electric distribution facilities or engaged in the re-routing or replacement of a major portion of an existing electric distribution facility. Except for emergencies, the City may require that all installations be coordinated with the City's street

improvement programs. The City Engineer shall be the City's agent for inspection and for compliance with City ordinances and regulations on any such projects. Except for emergencies, the Company shall notify the City of all scheduled work a minimum of two (2) working days prior to beginning such work. Notification of scheduled work shall take the form of a completed application for a Right-of-Way Encroachment Permit, including name and contact information for the designated Company representative who will be responsible for the specific work being undertaken. The Company is responsible for notifying adjacent property owners whose property, access or parking may be affected by the Company's work in accordance with City requirements. In case of emergencies, the Company shall notify the City representative of the work done on the next regular business day. The Company and City shall submit a list of current and planned projects which may require street cuts, excavation, digging and related construction activities as said information becomes available. City and Company shall meet annually to discuss annual and long-term planning.

Notwithstanding the provisions of Section 12.04.050 of the Cheyenne City Code, it is mutually understood and agreed that it may be necessary for the Company to move its vehicles and equipment across sidewalks if reasonably necessary in connection with activities described in Section 2.1 of this franchise. The Company shall, at its expense and in accordance with City specifications, repair or replace any curb, gutter, sidewalk or driveway which is damaged by the Company to its condition before any such damage occurred.

5.3 City Review of Construction and Design. Except for emergencies, prior to the construction or re-routing of any significant facility for the distribution of electrical energy, the Company, at the City's request, shall furnish to the City the plans for such facilities for review. In addition, the Company shall assess and report on the impact of such proposed construction on the City environment. Subject to the jurisdiction of the PSC, such plans and reports may be reviewed by the City to ascertain, *inter alia*, (1) that all design and construction are consistent with industry standards, (2) that all local, state and federal laws and regulations are complied with, (3) that aesthetic and good planning principles have been given due consideration, and (4) that adverse impact on the environment has been minimized.

5.4 Compliance with PSC Regulations. The electrical energy which the Company distributes and all services provided in connection therewith shall conform with Company standards, all applicable industry standards, the standards promulgated by the PSC, and with the tariff provisions, rules and regulations of the Company on file with the PSC. For purposes of this franchise, the word distribute shall not refer to the generation of electricity.

5.5 Compliance with Laws Relating to Environmental Protection. The Company shall comply with environmental protection standards established by applicable federal and state laws. Upon the City's request, the Company will provide the City with a status report of such measures.

5.6 Inspection. The City shall have the right to inspect at all reasonable times any portion of the Company's system used to serve the City and its residents. The City shall also have access to Company records for the purpose of determining Company compliance with this franchise, including, without limitation, access to records necessary to determine whether the payment of franchise fees complies herewith. The Company agrees to cooperate with the City in conducting the inspection and to correct any discrepancies affecting the City's interest in a prompt and efficient manner.

5.7 Participation in Development and Construction Projects. The Company shall actively review proposed development and construction projects in a timely fashion within the Franchise Area with the intent of coordinating utility upgrades, relocations and facilities with proposed projects at the earliest possible time.

5.8 Identification of Company Street Lighting. All public street lighting installed pursuant to this agreement shall be individually marked with a unique identifier by the Company. Such identifiers shall be distinctive in color and/or number sequence from other street lighting identifiers used in the Cheyenne area.

5.9 Relocation at Request of Third Party. The Company shall, on the request of any person holding a building moving permit or oversize load permit issued by the City or an overweight/width permit issued by the Wyoming Department of Transportation, temporarily raise or lower its wires to permit the moving of such building or load, provided:

a. The expense of temporary raising or lowering of wires is paid by the requestor, including, if required by the Company, making payment in advance; and

b. The Company is given not less than (30) thirty business days advance written notice to arrange for temporary wire changes.

ARTICLE 6

PUBLIC SERVICE COMMISSION

6.1 Public Service Commission Regulation. The City and the Company recognize that the lawful provisions of the Company's tariffs on file and in effect with the PSC which are consistent with the restrictions and limitations of Article 13, Sec. 4 of the Wyoming Constitution and WYO. STAT. Section 15-1-103(a)(xxxiii) (2011) regarding the rights of municipalities concerning franchises, are controlling over any inconsistent provision in this franchise dealing with the same subject matter. In the opinion of the Company, no provision of this franchise is inconsistent with any of the currently effective provisions of the Company's tariffs.

6.2 Public Service Commission Notification. The Company agrees to notify the PSC and take all other actions required by the PSC which are required by law as a result of the expansion of Company's franchised territory resulting from annexation of property and territories in the future.

ARTICLE 7

REPORTS TO CITY

7.1 Reports on Company Operations. The Company shall submit reasonable and necessary reports containing or based on information readily obtainable from the Company's books and records as the City may request with respect to the operations of the Company under this franchise and provide the City with a list of real property within the City which is owned by the Company.

7.2 Copies of Tariffs, All PSC Filings. The Company shall keep on file in a local Company office, all tariffs, rules, regulations and policies approved by the PSC relating to service by the Company to the City and its residents. Upon request by the City, the Company shall provide the City with copies of filings affecting said service which it makes with the PSC.

7.3 Data Sharing/Location Maps. The Company shall annually provide the City Engineer's Office one electronic copy of the Company's standard facilities mapping for common everyday use showing the location of above-ground and underground electric facilities within the City of Cheyenne and immediate vicinity. The electronic copy shall be in a format and datum compatible with the Cheyenne and Laramie County Cooperative GIS Program policies and procedures. These maps are not to be used for locating underground facilities for excavation. Both the City and the Company shall enter into the attached Information Sharing Agreement (Attachment C), which provides for further data exchange between the parties.

ARTICLE 8

USE OF COMPANY FACILITIES

8.1 Use By Others. Joint use of the Company's poles and pole lines is required. Except for those instances and conditions where joint use is governed by the PSC, the Federal Communications Commission ("FCC") and the Federal Energy Regulatory Commission ("FERC"), the Company will allow others holding a franchise from the City, except for electric service, to so utilize such poles and suitable overhead structures upon reasonable terms and conditions to be agreed upon by the Company and such holder of a franchise from the City; provided, however, the Company shall assume no liability nor shall it be put to any additional

expense in connection therewith and the use of said poles and structures by the City or others holding a franchise from the City shall be in such a manner as not to constitute a safety hazard or to interfere unnecessarily with the Company's use of same. Where the regulations of the PSC, the FCC or the FERC govern the conditions of joint use, such regulations apply.

8.2 Underground Conduit. If the Company installs new electric underground conduit or opens a trench or replaces such conduit, the Company shall provide adequate advance notice to permit additional installation of similar conduit and pull wire for the City. If the City wants additional similar conduit and pull wire installed, it will so notify the Company and provide similar conduit and pull wire at its expense to the Company which will install it without further expense to the City provided that such action by the City will not unnecessarily interfere with the Company's facilities or delay the accomplishment of the project.

ARTICLE 9 INDEMNIFICATION OF THE CITY

9.1 City Held Harmless. The Company shall indemnify, defend and save the City harmless from and against all liability or damage and all claims or demands whatsoever in nature brought by third persons arising out of the operations of the Company within the City pursuant to this franchise and the securing of and the exercise by the Company of the franchise rights granted in this ordinance and shall pay all reasonable expenses, including reasonable attorneys fees, arising therefrom. The City will provide prompt written notice to the Company of the pendency of any claim or action against the City arising out of the exercise by the Company of its franchise rights. The Company will be permitted, at its own expense, to appear and defend or to assist in defense of such claim. Notwithstanding any provision hereof to the contrary, the Company shall not be obligated to indemnify, defend or hold the City harmless to the extent any claim, demand or lien arises solely out of or in connection with any negligent act or failure to act of the City or any of its officers or employees.

9.2 Payment of Expenses Incurred by City in Relation to Ordinance. At the City's option, the Company shall pay in advance or reimburse the City for expenses incurred in publication or notices and ordinances and for photocopying of documents arising out of the negotiations or process for obtaining the franchise.

ARTICLE 10 UNDERGROUND CONSTRUCTION

10.1 Underground Electrical Distribution Lines in New Areas. The Company will place newly constructed electrical distribution lines underground to serve new residential and commercial subdivision areas in accordance with the Company's tariffs and City subdivision regulations. New distribution lines at a voltage of 34.5 kV or greater will not be required to be placed underground.

10.2 Cooperating with Other Utilities. When undertaking a project of undergrounding, the City and the Company shall work with other utilities or companies which have their lines overhead to attempt to have all lines undergrounded as part of the same project. When other utilities or companies are placing their lines underground, the Company shall cooperate with these utilities and companies and undertake to underground Company facilities as part of the same project where feasible and if required by City ordinance. The Company shall not be required to pay the costs of any other utility in connection with work under this section.

ARTICLE 11 TRANSFER OF FRANCHISE

11.1 Consent of City Required. The Company shall not transfer or assign any rights under this franchise to a third party, excepting only corporate reorganizations of the Company not including a third party, unless the City shall approve in writing such transfer or assignment. Approval of the transfer or assignment shall not be unreasonably withheld.

ARTICLE 12
PURCHASE OR CONDEMNATION

12.1 City's Right to Purchase or Condemn. The right of the City to construct, purchase or condemn any public utility works or ways, and the rights of the Company in connection therewith, as provided by the Wyoming Constitution and statutes, are hereby expressly reserved.

12.2 Continued Cooperation by Company. In the event the City exercises its option to purchase or condemn, the Company agrees that, at the City's request, it will continue to supply any service it supplies under this franchise, for the duration of the term of this franchise pursuant to terms and conditions negotiated for such continued operation.

ARTICLE 13
REMOVAL OF COMPANY FACILITIES AT END OF FRANCHISE

13.1 Limitations on Company Removal. In the event this franchise is not renewed at the expiration of its term or the Company terminates any service provided herein for any reason whatsoever, and the City has not purchased or condemned the system and has not provided for alternative electrical service, the Company shall have no right to remove said system pending resolution of the disposition of the system. The Company further agrees it will not withhold any temporary services necessary to protect the public and shall be entitled only to monetary compensation in no greater amount than it would have been entitled to be compensated for were such services provided during the term of this franchise. Only upon receipt of written notice from the City stating that the City has adequate alternative electrical energy sources to provide for the people of the City shall the Company be entitled to remove any or all of said systems in use under the terms of this franchise.

ARTICLE 14
FORFEITURE

14.1 Forfeiture. Both the Company and the City recognize there may be circumstances whereby compliance with the provisions of this franchise is impossible or is delayed because of circumstances beyond the Company's control. In those instances, the Company shall use its best efforts to comply in a timely manner and to the extent possible. If the Company fails to perform any of the terms and conditions of this franchise and such failure is within the Company's control, the City, acting by and through its Governing Body, may determine, after hearing, that such failure is of a substantial nature. Upon receiving notice of such determination, the Company shall have a reasonable time in which to remedy the violations. If during said reasonable time corrective actions have not been successfully taken, the City, acting by and through its Governing Body, shall determine whether any or all rights and privileges granted to the Company under this ordinance shall be forfeited.

14.2 Judicial Review. Any such declaration of forfeiture shall be subject to judicial review as provided by law.

14.3 Other Legal Remedies. Nothing herein contained shall limit or restrict any legal rights that the City or the Company may possess arising from any alleged violation of this franchise.

14.4 Continued Obligations. Upon forfeiture, the Company shall continue to provide service to the City and its residents in accordance with the terms hereof until the City makes alternative arrangements for such service. If the Company fails to provide continued service, it shall be liable for damages to the City.

ARTICLE 15
AMENDMENTS

15.1 Amendments to Franchise. At any time during the term of this franchise, the City, through its Governing Body, or the Company may propose amendments to this franchise by giving thirty (30) days written notice to the other of the proposed amendment(s) desired and both

parties thereafter will negotiate within a reasonable time in good faith in an effort to agree on mutually satisfactory amendment(s).

ARTICLE 16
SMALL POWER PRODUCTION AND COGENERATION

16.1 Company to Purchase. The City expressly reserves the right to engage in the production of electricity. The Company agrees to negotiate for the purchase of City-generated power in accordance with its tariffs and applicable PSC Rules and Regulations; provided, however, that all purchases shall be subject to the Company's power purchase contracts in place at the time City-generated power becomes available.

ARTICLE 17
MISCELLANEOUS

17.1 Successors and Assigns. The rights, privileges, franchises and obligations granted and contained in this ordinance shall inure to the benefit of and be binding upon High West Energy, Inc., its successors and assigns.

17.2 Third Parties. Nothing contained in this franchise shall be construed to provide rights to third parties.

17.3 Notices. Notices required hereunder shall be in writing and forwarded by certified mail or hand delivery to the persons and addresses as hereinafter stated, unless the persons and addresses are changed at the written request of either party, delivered in person or by certified mail. Until any such change shall hereafter be made, notices shall be sent to the City Clerk and to the Company's General Manager. Currently the addresses are as follows:

For the City of Cheyenne:
City Clerk's Office
2101 O'Neil Avenue
Cheyenne, WY 82001

With copies to:
City Attorney
City Engineer

For the Company:
General Manager
High West Energy, Inc.
6270 County Road 212
Pine Bluffs, WY 82082

17.4 Severability. Should any one or more provisions of this franchise be determined to be illegal or unenforceable, all other provisions nevertheless shall remain effective; provided, however, the parties shall forthwith enter into good faith negotiations and proceed with due diligence to draft a term that will achieve the original intent of the parties hereunder.

17.5 Governmental Immunity. The City and its officials and employees do not waive governmental immunity by entering into this Agreement and specifically retain all immunities and defenses available to them as Governmental Entities pursuant to Wyo. Stat. § 1-39-101, *et seq.*, and all other applicable laws, except to the extent necessary solely for the enforcement of the terms and conditions of this Agreement as between the parties.

Further, the City fully retains all immunities and defenses provided by law with regard to any action, whether in tort, contract or any other theory of law, based on this Agreement. Designation of venue, choice of law and similar provisions should not be construed as a waiver of governmental immunity.

17.6 Governing Law, Jurisdiction and Venue. The construction, interpretation and enforcement of this franchise shall be governed by Wyoming law. The federal and state courts of the State of Wyoming shall have jurisdiction over any action arising out of this franchise and over the parties, and the venue shall be the United States District Court for the District of Wyoming or the First Judicial District Court, Laramie County, Wyoming.

17.7 Insurance. Within thirty (30) days after the enactment of this franchise ordinance, the Company shall provide to the City certificates of insurance, or other documentation acceptable to the City, showing the types and amounts of liability insurance coverage being maintained by the Company. In addition, the Company shall provide the City certificates of insurance or other acceptable documentation within (30) days after the renewal or any such liability coverage. The Company shall notify the City of the revocation, cancellation or any material alteration of any its liability insurance coverage within ten (10) days after any such event occurs.

17.8 Entire Agreement. This franchise, together with the attachments referenced herein, constitutes the entire agreement of the parties with respect to the Company's right to furnish, sell and distribute electricity to the City and its residents in the Franchise Area. There have been no representations made other than those contained in this franchise.

ARTICLE 18 APPROVAL

18.1 City and PSC Approval. This grant of franchise shall not become effective until: (1) this ordinance is approved by Governing Body of the City of Cheyenne in the manner provided by law; (2) this ordinance is published in the manner provided by law; and (3) the allocation of service territory, as set forth in Attachments A and B, is affirmatively approved by the Wyoming Public Service Commission through the issuance of an order which has become final upon the exhaustion of appeal rights.

18.2 Company Approval. The Company shall file with the City Clerk its written acceptance of this franchise and of all of its terms and provisions within ten (10) days after the adoption of this franchise by the Governing Body. If the Company shall fail to timely file its written acceptance as herein provided, this franchise shall be and become null and void.

THIS ORDINANCE SHALL NOT BE EFFECTIVE UNTIL THIS ORDINANCE HAS BEEN APPROVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE IN THE MANNER PROVIDED BY LAW, PUBLISHED IN THE MANNER PROVIDED BY LAW, AND THE ALLOCATION OF SERVICE TERRITORY, AS SET FORTH IN ATTACHMENTS A AND B, IS AFFIRMATIVELY APPROVED BY THE WYOMING PUBLIC SERVICE COMMISSION THROUGH THE ISSUANCE OF AN ORDER WHICH HAS BECOME FINAL UPON EXHAUSTION OF APPEAL RIGHTS.

FIRST READING:_____

SECOND READING:_____

THIRD AND FINAL READING:_____

(SEAL)

Richard L. Kaysen, Mayor

ATTEST:

Carol Intlekofer, City Clerk

PUBLISH: Wyoming Tribune Eagle